

LIMURU TEA COMPANY LIMITED

COMMENTARY

Performance

In the first half of 2015, the company produced 1,379 Tonnes of green leaf, which in turn was manufactured into 321 Tones of black tea. This was a 15% decrease in Made Tea volumes compared to the first half of 2014.

Total revenues decreased by 12% to Kes 42 million in the period compared to Kes 48 million realised in the same period of 2014. This decline in the first half of 2015 is due to the depressed volumes as a result of drier weather conditions compared to same period in 2014.

The company posted a pre-tax profit of Kes 5.2 million in the first half of 2015 compared to Kes 10.8 million in 2014.

Dividend

The Directors do not recommend an interim dividend.

Prospects

The first half of 2015 experienced dry weather conditions adversely impacting on volumes. However, quarter two of 2015 has witnessed improved prices. If this price trend persists, and the weather conditions keep improving, we expect the revenues in the second half to improve compared to 2014.



Duncan Stickler

CHAIRMAN

14th August 2015

LIMURU TEA COMPANY LIMITED

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ANNOUNCEMENT OF UNAUDITED RESULTS FOR THE SIX MONTHS ENDED 30 JUNE 2015.

The Board of Directors is pleased to announce the company's unaudited results for the Six months ended 30th June 2015.

STATEMENT OF FINANCIAL POSITION	As At 30.06.15		As At 30.06.14
CAPITAL EMPLOYED	Shs'000		Shs'000
Share capital	24,000		24,000
Retained Earnings & reserves	226,515		227,345
Profits for the period	3,640		7,454
Proposed dividend	-		-
Total equity	254,155		258,899
Non Current Liabilities			
Deferred income tax	50,554		52,692
Post employment benefit obligation	20,123		20,972
	70,677		73,664
Total equity and Non Current Liabilities	324,832		332,563
REPRESENTED BY			
Non Current Assets			
Property, plant and equipment	15,991		8,153
Biological assets	196,702		201,732
	212,693		209,885
Current Assets			
Receivables	121,862		117,289
Current income tax-Asset	-		-
Cash at bank and in hand	7,554		13,131
Inventory	202		150
	129,618		130,570
Current Liabilities			
Trade and other payables	15,581		7,946
Current income tax-Liability	1,628		(54)
	17,479		7,892
Net Current Assets	112,140		122,678
	324,832		332,563

CONDENSED STATEMENT OF CASH FLOWS			
	As at 30.06.15		As at 30.06.14
	Shs '000		Shs '000
Net cash from operating activities	7,050		19,992
Net cash used in investing activities	(6,168)		(5628)
Net cash used in financing activities	(1,200)		(9,000)
Decrease in cash and cash equivalents	(318)		5,364
Movement in cash and cash equivalents			
At start of year	7,872		7,767
Increase	(318)		5,364
At end of June	7,554		13,131

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CONDENSED STATEMENT OF COMPREHENSIVE INCOME			
	Jan-June 2015 Shs '000		Jan-June 2014 Shs '000
Turnover	42,372		47,947
Profit before income tax	5,201		10,792
Income tax (expense)	(1,560)		(3,238)
Profit attributable to the shareholders	3,640		7,554
Issued shares of Kshs. 20 each	1,200,000		1,200,000
Earnings per share (Shs)	3.03		6.3
Total Dividends per share (Shs)	-		-

CONDENSED STATEMENT OF CHANGES IN EQUITY				
	Share Capital Shs '000	Retained Earnings & reserves Shs '000	Proposed Dividend Shs '000	Total Shs '000
Balance at 1 January 2014	24,000	227,346	9,000	260,346
Total recognized income for 2014	-	7,554	-	7,554
Dividends				
-Final paid For 2013			(9,000)	(9,000)
-Proposed final for 2014		-	-	
Balance as at 30 th June 2014	24,000	234,900	-	258,900
Balance at 1 January 2015	24,000	226,515	1,200	251,715
Total recognized income for 2015	-	3,640	-	3,640
Dividends				
-Final paid For 2014			(1,200)	(1,200)
-Proposed interim for 2015		-	-	
Balance as at 30 th June 2015	24,000	230,155	-	254,155